ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 11 - FOREX & CURRENCY MEGA-TRADES

ICT Monthly Mentorship

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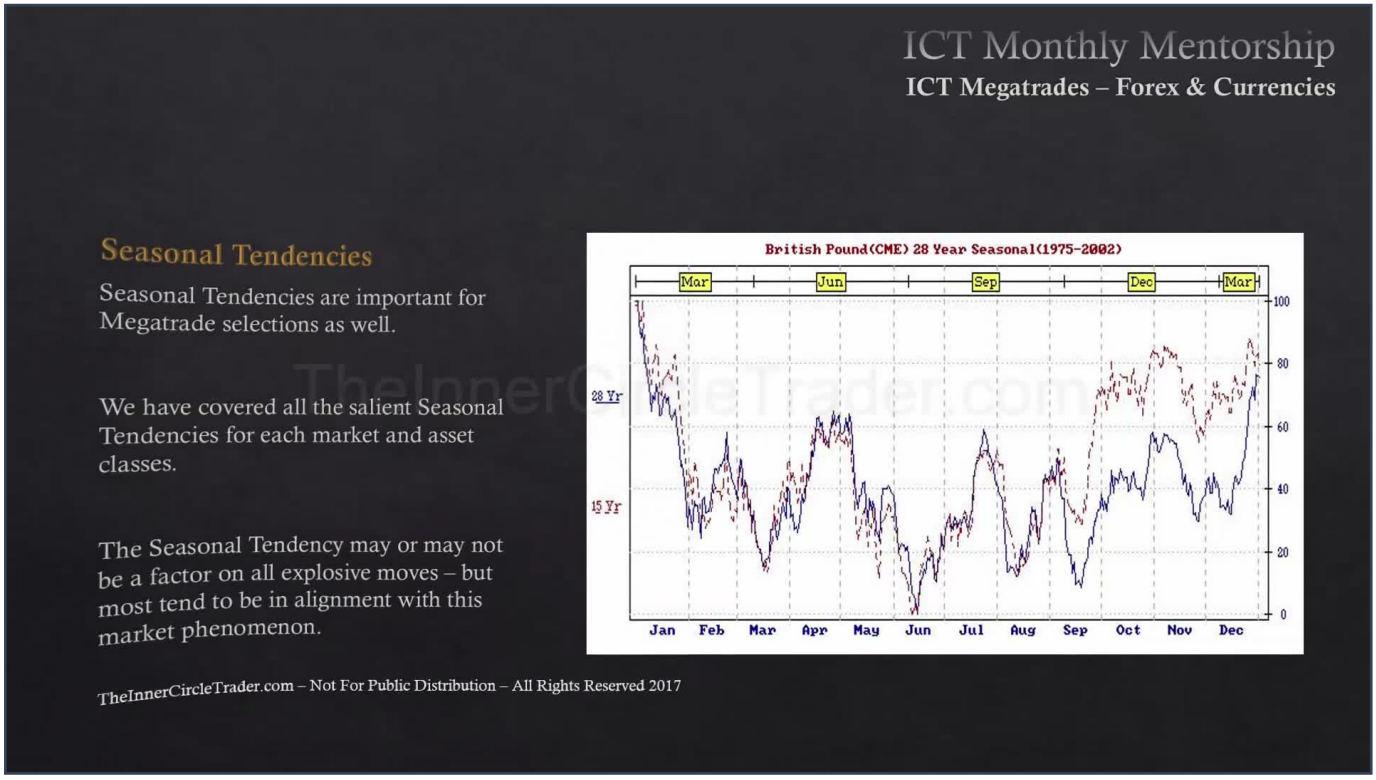
This lesson specifically deals with Futures and Forex and options on both. All information provided is for informational purposes only. The topic is ICT Mega Trades, focusing on Forex and currencies.

Mega Trades are longer-term trades, distinct from day trades or short-term trades, falling between swing and position trades. They can last longer and go farther than initially expected, hinging on the concept of quarterly shifts. The impact of quarterly cycles in markets is crucial and cannot be overstated. Every 3 months, markets tend to form an intermediate-term turning point. While this alone doesn't provide directional bias (which comes from institutional orderflow), the overlapping of Mega Trade conditions with quarterly shifts is crucial for identifying explosive market moves.



Seasonal tendencies are important for Mega Trade selections. These tendencies, based on historical data, indicate when specific currencies are likely to rally or decline. They serve as road maps, not panaceas, used as precursors to potential price movements. While not a factor in all explosive moves, most tend to align with this market phenomenon. However, seasonal tendencies should not be the sole basis for a trade idea. If market internals and technicals suggest a different direction, you must prioritize the collective analysis over a singular seasonal tendency. Ideal conditions occur when seasonal tendencies are in alignment with other technical factors.

Every significant move in the Forex or currency markets has its roots in the price action of the US Dollar Index. A significant price move in a currency will be mirrored in the DXY. While the Dollar Index can consolidate on very short-term or intraday charts, and foreign currencies can still trade stronger or weaker against it, the search for Mega Trades fundamentally depends on the Dollar Index supporting the trade idea. Without DXY support, it is not a qualified Mega Trade setup.

DOLLAR INDEX CONFIRMATION FOR MEGA TRADES

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For a Mega Trade, the Dollar Index must confirm the trade idea:

- If the British pound is expected to go higher, the Dollar Index should be in a sell condition.

- If the Dollar Index is poised to go higher, and the Canadian dollar is expected to go lower (as a dollar CAD pair), that bullishness must be seen in the Dollar Index.

For Mega Trade selections, focus on the seven major currency pairs:

- Euro Dollar (Fiber)

- Pound Dollar (Cable)

- Aussie Dollar (Aussie)

- New Zealand Dollar (Kiwi)

- Dollar Swissy

- Dollar Cad (Looney)

- Dollar Yen (Yen)

All major market moves can be determined with these seven pairs. While some traders prefer larger range crosses like Pound Yen or Euro Yen, these majors are essential to understand for finding the basis of the next Mega Trade. A Mega Trade can occur in a major or a cross, but understanding the majors is foundational to finding opportunities in the crosses. This is one of the most important lessons, as it underpins how to find Mega Trades even in crosses, which are not actively traded often but offer opportunities when specific conditions are met.

The major currencies have respective Futures contracts, which further aids in analysis for finding explosive market moves. These include:

- Euro Dollars Futures

- British Pounds Futures

- Australian Dollars Futures

- New Zealand Dollars Futures

- Swiss Franks Futures

- Canadian Dollars Futures

- Japanese Yens Futures

Price action in these underlying Futures contracts can lead to opportunities that ultimately unfold as Mega Trades.

RELATIVE STRENGTH ANALYSIS: APPROACH 1 (UNDERLYING FUTURES)

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There are two approaches to performing relative strength analysis. The first involves using the underlying Futures price action by comparably measuring respective highs and lows.

- Scenario: Looking for a bullish scenario based on a weak dollar (lower Greenbacks sending foreign currencies higher).

- Process: Review all underlying Futures contracts (AUD, CAD, GBP, EUR, NZD, JPY, CHF).

- Focus: Identify markets that show a willingness to go higher and hold their lows (creating higher lows).

- Confirmation: Look for the ability of these Futures contracts to break through old highs or premium arrays.

- Definition: Markets that trade through premium arrays and hold higher lows are by default relatively strong currencies.

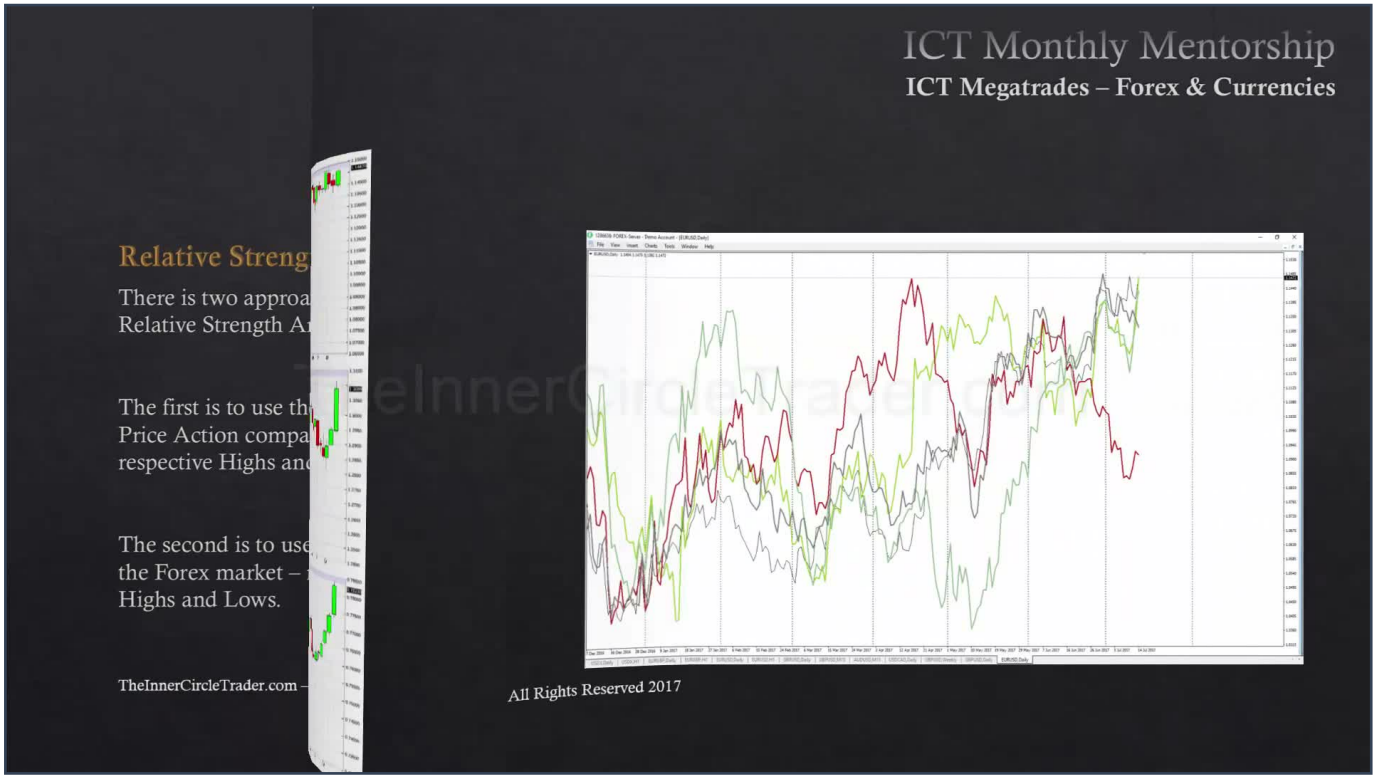
- Filtering: Cross out individual markets that falter, go lower, or fail to break through premium arrays, as this indicates underlying weakness. These are not candidates for buying foreign currencies.

The second application for relative strength analysis uses the MT4 overlay tool for Forex markets. This involves measuring respective highs and lows by overlaying multiple pairs on one chart.

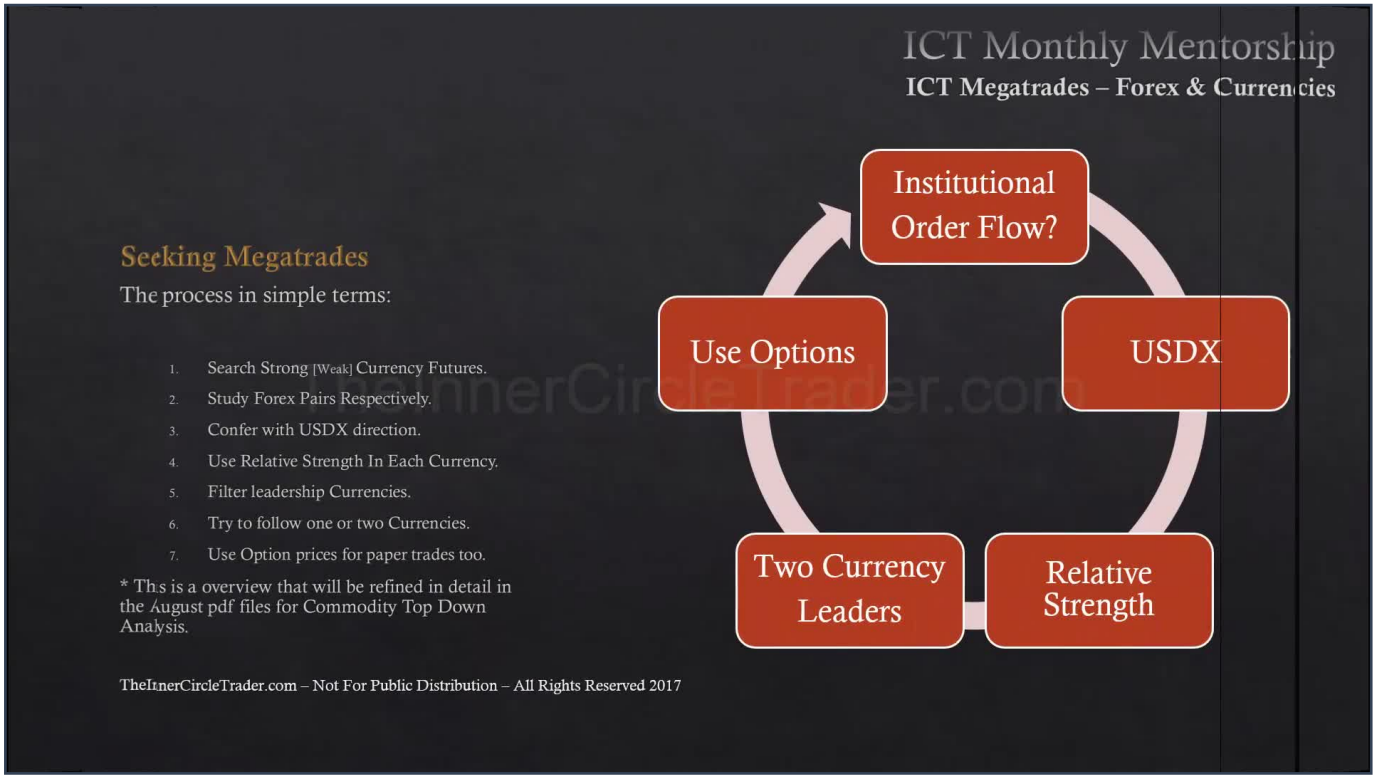
- Benefit: Overlaying pairs helps identify accumulation based on S&T Divergence across all pairs.

- Example (Weak Dollar): If a weak dollar is expected, look for pairs with higher lows. This applies when the base currency is the foreign currency and the quoted price is in dollars (e.g., Aussie Dollar, Euro Dollar, Pound Dollar, Kiwi Dollar).

- Dollar-Based Crosses: For pairs where the dollar is the base currency and it's quoted in another currency (e.g., Dollar Yen, Dollar CAD, Dollar Swissy), the overlay needs to be inverted for comparison.



While overlay charts can appear busy ('spaghetti mess'), understanding what to look for provides immense insight. Both methods of relative strength analysis (Futures price action or MT4 overlay) are effective at ferreting out significant movers, and you won't miss a Mega Trade by using one over the other. The best approach is to blend both, hoping they agree with expectations. If they do, it suggests a high-probability Mega Trade opportunity.

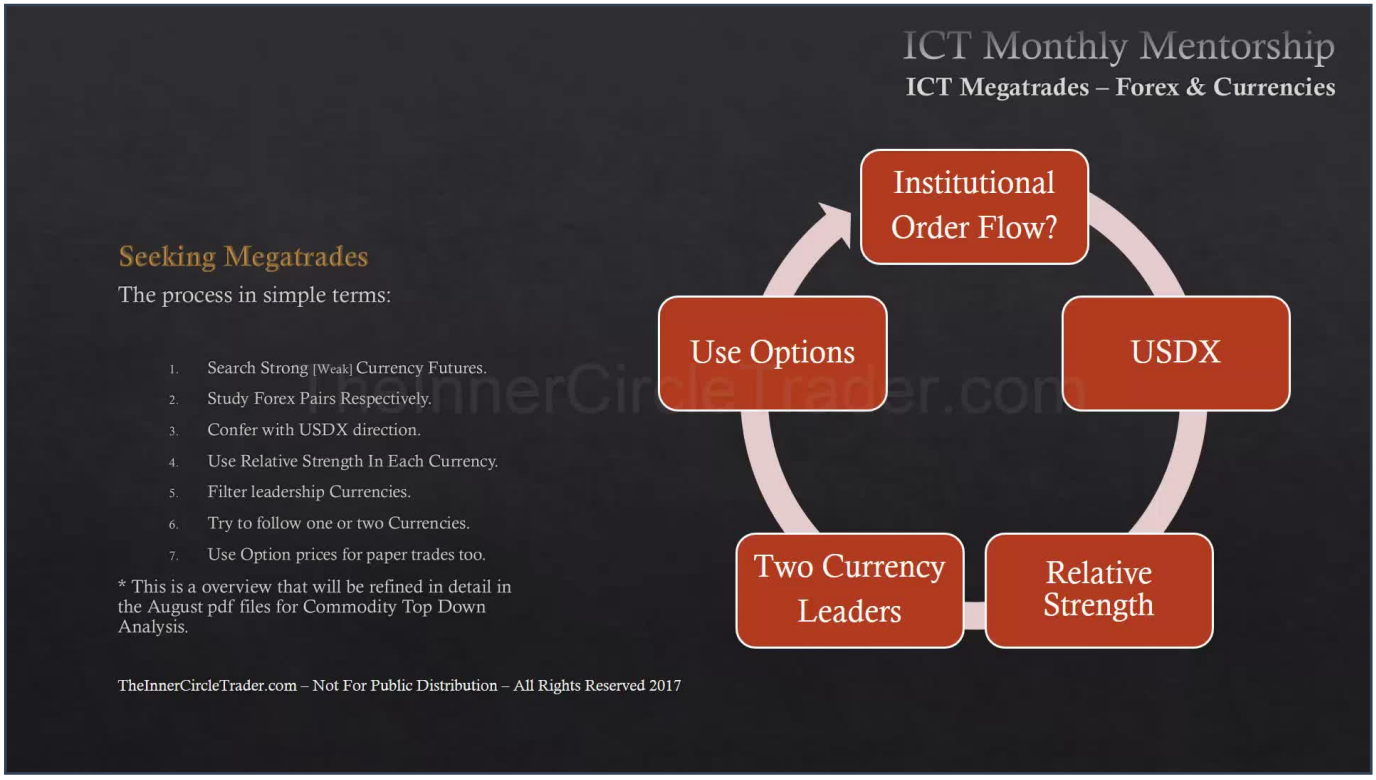


The simple process for seeking Mega Trades from beginning to end involves several steps:

- Step 1: Identify Strong and Weak Currency Futures. Start by analyzing Futures contracts for institutional orderflow to find currencies showing relative strength or weakness.

- Step 2: Confirm with the Dollar Index. Verify that the direction of the Dollar Index supports the anticipated unfolding of strong or weak currencies.

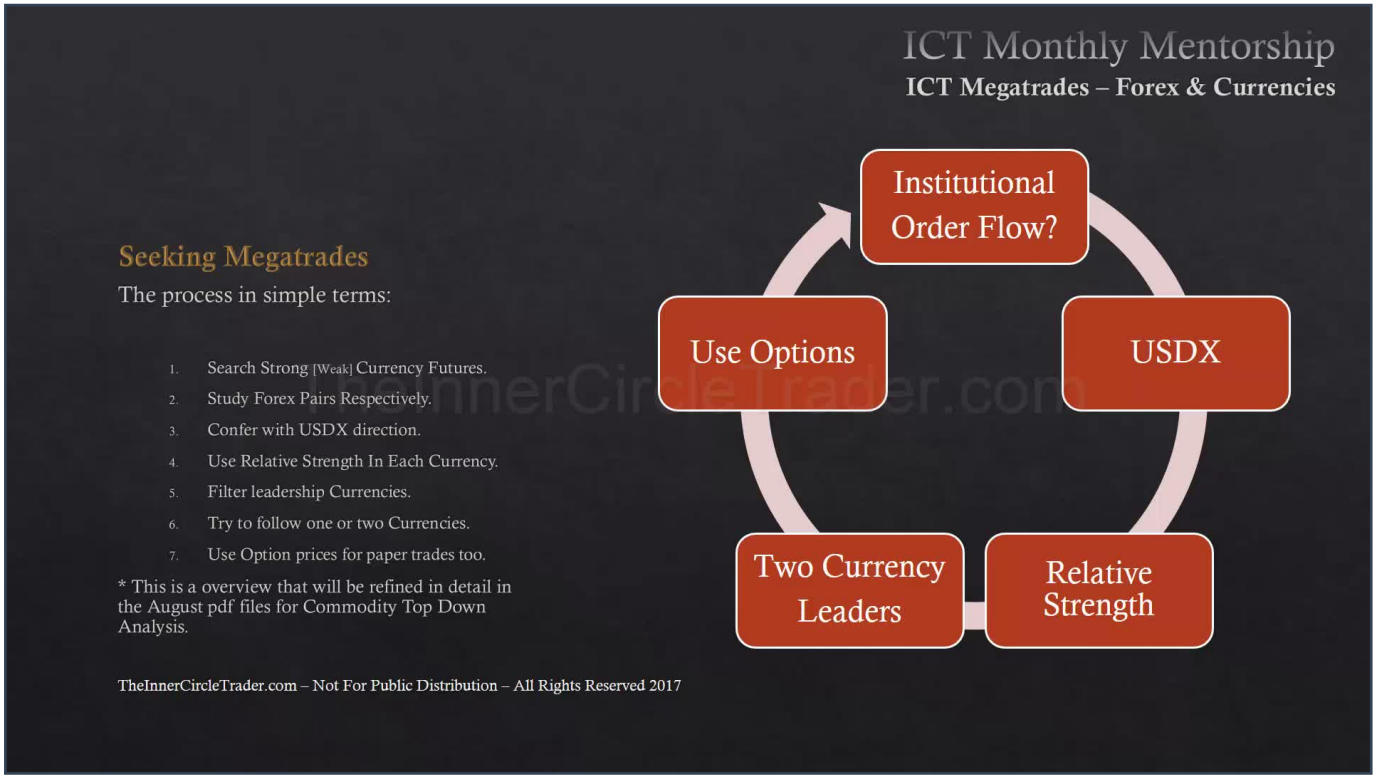
- Step 3: Filter Leadership Currencies using Relative Strength. Even if a group of currencies appears strong with supporting Dollar Index action, break them down further with relative strength analysis to find the actual strongest and actual weakest among them. This process filters out leadership currencies.



- Strong Currencies: Will easily move through premium arrays (bearish order blocks), break old highs, find support at discount arrays, and make higher lows.

- Weak Currencies: Will easily move through discount arrays (bullish order blocks), break old lows, find resistance at premium arrays, and make lower highs.

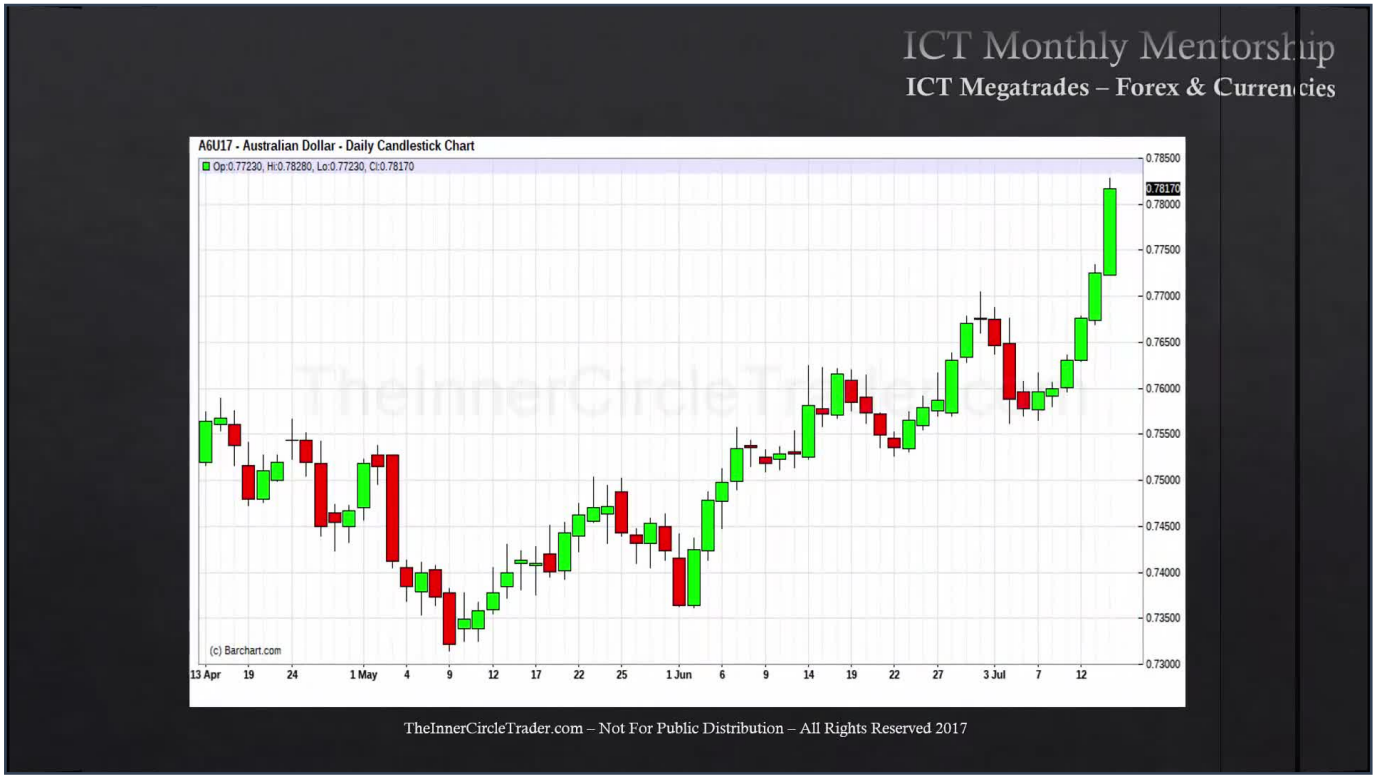
This filtering helps narrow down to one or two currencies that fit the criteria for a strong and a weak currency.



Once a weak currency and a strong currency are defined by relative strength:

- Futures/Options: Trade the underlying Futures contracts (go long strong currency Futures) or use options (long calls on strong currency Futures).

- Forex Crosses: For those not trading Futures, use this information to identify a Mega Trade in the Forex market by pairing the strong currency with the weak currency to form a cross pair. This overview will be refined in detail with commodity top-down approaches.



A review of Futures charts demonstrates relative strength:

- Australian Dollar: Very strong, in a nice uptrend, finding support at discount arrays, creating higher highs, breaking premium arrays easily, with strong expansion moves and shallow retracements. This is a strong leadership currency.

- Euro: Firm to bullish, but with some short-term consolidation, making it relatively strong but less dynamic than the AUD.

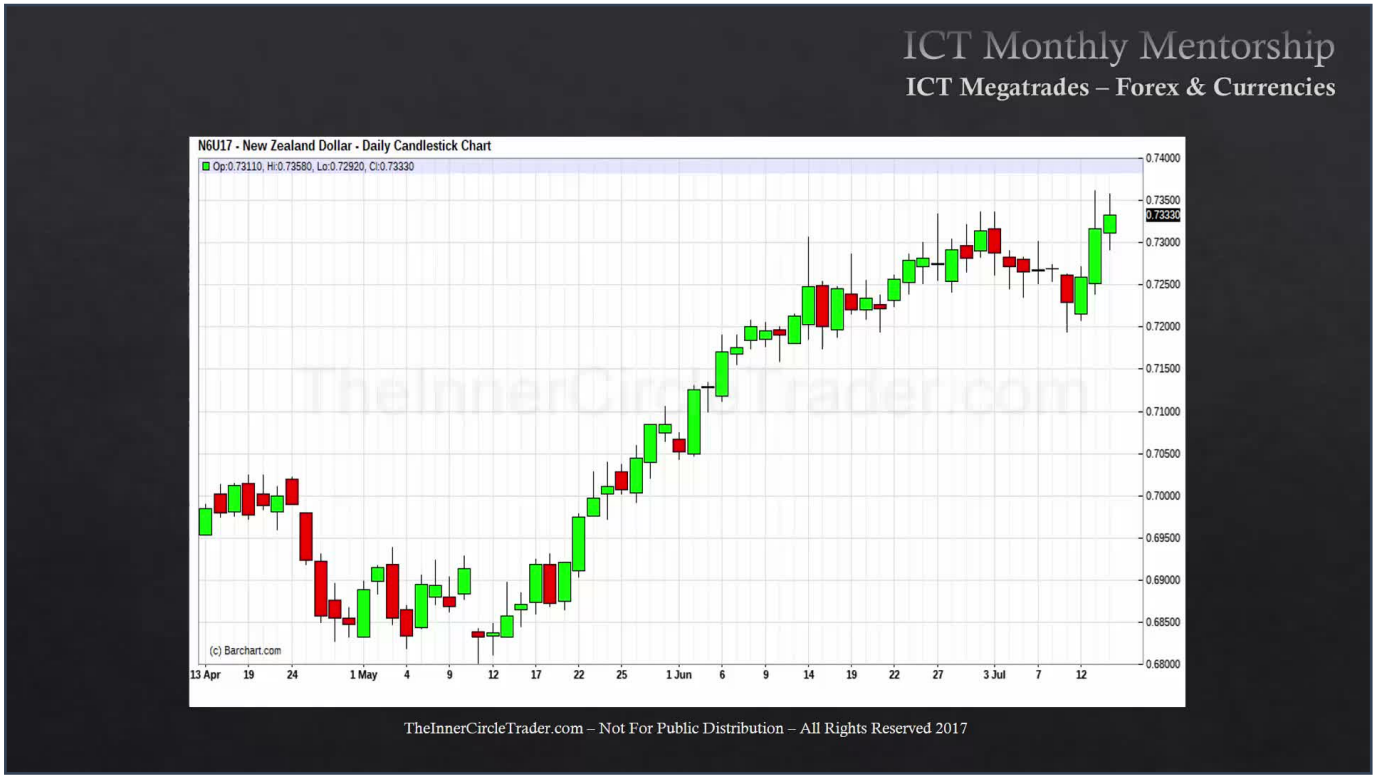
- British Pound: In a range, rather sloppy; not a relative strength leader for upside.

- Japanese Yen: In a larger trading range, but met resistance in June, filled a fair value gap at 92, and sold off to a weaker stance.

- Swiss Franc: Firmed to bullish but not terribly exciting; unlikely to meet Mega Trade criteria.

- Canadian Dollar: In a wonderful uptrend, finding support at discount arrays, breaking old highs, smashing through premium arrays, with big expansion moves and shallow retracements. This is a strong leadership Futures Market for buying.

- New Zealand Dollar: In a strong bull market but moved into a trading range, less dynamic than the AUD. Compared to AUD, NZD is relatively strong but the Aussie is much stronger in its institutional order flow for upside. Therefore, NZD would be crossed out if looking for the strongest due to correlation with AUD.



From the Futures analysis, leadership currencies identified are:

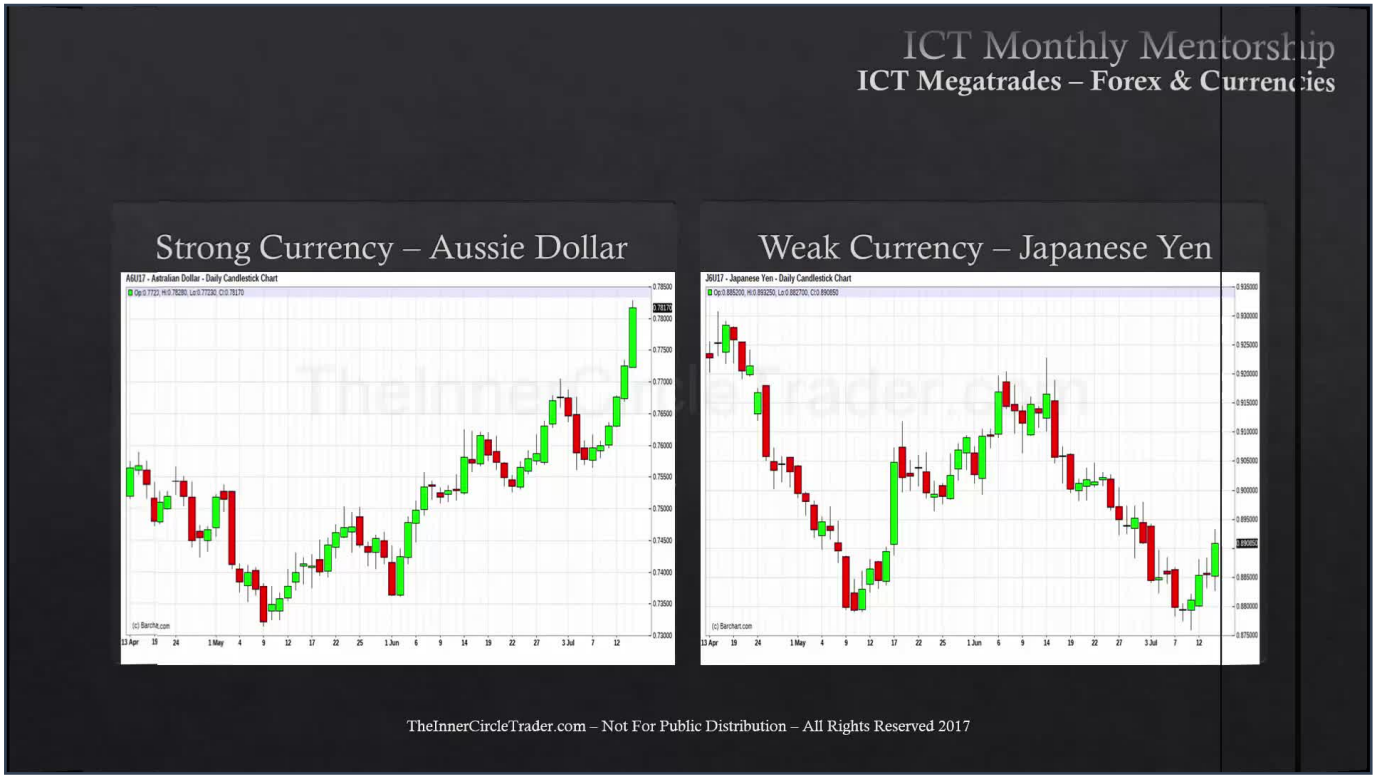
- Strong: Australian Dollar, Canadian Dollar

- Weak: Japanese Yen

To create a Forex Mega Trade idea, blend a strong currency with a weak currency. For example, a strong Canadian Dollar (seen in its Futures uptrend, inverse to Dollar CAD) combined with a weak Japanese Yen (seen in its Futures sell-off after hitting resistance and filling a fair value gap).

- Result: Canadian Dollar versus Japanese Yen (CADJPY).

In the second week of June 2017, the CADJPY made a low and rallied aggressively, yielding an 845-pip swing. This illustrates how institutions analyze currencies to find cross-pair opportunities, even if crosses are not frequently traded.



Another example of blending a strong and weak currency for a Forex Mega Trade is the strong Australian Dollar versus the weak Japanese Yen, resulting in the Aussie Yen (AUDJPY). In the second week of June, AUDJPY made a low and rallied aggressively for 630 pips. This approach reveals 'blast-off' type moves—big, explosive movements that are not lethargic or slow, but quick and decisive. You are pairing a very strong currency against a weak currency (or vice versa for a stronger dollar scenario where foreign currencies go lower). These moves yield hundreds of pips, far exceeding typical shorter-term trades in majors like the Euro or Cable. This is how banks find and execute large-scale moves, and now you have the knowledge to do so as well.